Simple Business English

How to Negotiate Overdue Payments with a Key Distributor | Business English

Situation: Maya, a regional sales manager for a food manufacturer, visits the office of Stefan, the owner of a key regional distribution company. Stefan is 45 days late on payments for two months in a row, and Maya's finance director is demanding an immediate freeze on shipments.
Maya — Regional Sales Manager at a food brand manufacturer · **Stefan** — Owner and Director of a regional distribution company

Transcript

Stefan: Good morning, Maya. Come on in. Can I get you some coffee?
Maya: Good morning, Stefan. Black coffee would be great, thank you.
Stefan: Here you go. I know why you drove out to see me today.
Maya: Thank you for being open with me. We have a serious matter to resolve.
Stefan: You mean the overdue invoices from last month and this month.
Maya: Exactly. The outstanding balance is now forty-five days overdue for the second month.
Stefan: I know, Maya. Believe me, I am not ignoring you or your company.
Maya: I know you value our partnership, Stefan. But this delay is raising major alarms.
Stefan: Our largest retail customer, CityMart, is holding back all payments to distributors.
Maya: How long have they been delaying their payments to you?
Stefan: They are nearly sixty days late across three major supermarket regions.
Maya: That is a heavy burden, Stefan. How much do they currently owe you?
Stefan: Over eighty thousand euros. It has completely blocked our working capital.
Maya: I understand your position, Stefan. **Our finance team is ready to** block all new deliveries.
Stefan: If your company stops shipments now, we both lose everything in this region.
Maya: Believe me, I know that. You represent eighteen percent of our regional sales volume.
Stefan: If our shelves stay empty, our competitor will take those spots in two weeks.
Maya: Exactly. **Neither of us wants that to happen.**
Stefan: Then help me out, Maya. Do not let your head office shut us down.
Maya: We need to find a way through this. But I cannot simply ignore our finance rules.
Stefan: Can we extend our credit terms from thirty to sixty days for now?
Maya: I cannot authorize that. It would only increase our overall financial exposure.
Stefan: Sixty days would give us breathing room until CityMart releases our money.
Maya: My headquarters will never approve longer payment terms while invoices remain unpaid.
Stefan: So what are my options? I cannot transfer sixty thousand euros today.
Maya: No one expects you to clear the whole balance in one single payment.
Stefan: That is good to hear. What do you have in mind?
Maya: What we can do is set up a structured repayment plan over six weeks.
Stefan: Six weeks? That means paying ten thousand euros every single week.
Maya: Ten thousand euros per week clears the full balance before the quarter ends.
Stefan: Ten thousand a week is very tight for our current cash flow.
Maya: Can you manage eight thousand in week one, and twelve thousand in week two?
Stefan: That depends on CityMart. They promised a partial transfer next Friday.
Maya: Let us spread it into six realistic weekly installments starting next Tuesday.

Stefan: Okay, suppose I accept the debt schedule. What happens with new orders?
Maya: That is the second part of the agreement we must resolve today.
Stefan: We need two full truckloads next week for the holiday retail promotion.
Maya: Our credit committee will not release any new stock on full credit.
Stefan: Maya, if we do not get goods, we cannot generate any cash.
Maya: I had a long meeting with our credit director before coming here.
Stefan: What did your credit director say?
Maya: Deliveries will continue under a fifty percent prepayment condition.
Stefan: Fifty percent upfront? That means twenty thousand euros in cash before loading.
Maya: Yes, and the remaining fifty percent follows our standard thirty-day terms.
Stefan: That is tough, Maya. Could we agree on thirty percent prepayment instead?
Maya: Fifty percent is the strict minimum to keep our warehouse loading your trucks.
Stefan: You are putting heavy pressure on my working capital right now.
Maya: In exchange for that, we can offer an extra one percent discount for on-time payments.
Stefan: A one percent prompt payment discount on all future orders?
Maya: Yes. When you clear invoices on time, that discount improves your margin.
Stefan: That does help slightly, but the weekly debt payments are still challenging.
Maya: The real enemy here is the cash gap between CityMart and your suppliers.
Stefan: You are right about that. We are caught in the middle.
Maya: Exactly. We are on the same side, fighting to protect your shelf space.
Stefan: If our competitor gets those spots, we will never win them back.
Maya: That would hurt your distribution business just as much as our brand.
Stefan: I agree. Let me review our expected cash inflows for this month.
Maya: Take your time. We need numbers that you can realistically achieve.
Stefan: If CityMart sends twenty thousand next week, I can cover the first payment.
Maya: What happens if CityMart delays by another five or ten days?
Stefan: We have money arriving from two regional store chains next Wednesday.
Maya: Are those independent store chains consistent with their payment schedules?
Stefan: Yes, they always pay reliably, usually within twelve to fourteen days.
Maya: That sounds solid. That gives you a reserve for the first two payments.
Stefan: It does. That gives us a realistic buffer for the first two weeks.
Maya: Can you commit to that schedule?
Stefan: Yes. Ten thousand euros each Tuesday for six weeks is manageable.
Maya: And for next week's order, can you send fifty percent on Monday?
Stefan: I will execute the bank transfer on Monday morning before ten.
Maya: As soon as the payment confirmation arrives, our trucks will dispatch.
Stefan: And the remaining half stays on normal thirty-day credit?
Maya: Yes, exactly as we agreed.
Stefan: What happens once the six weeks are finished?
Maya: Once your overdue balance reaches zero, your standard credit terms return.
Stefan: Will the one percent prompt payment discount continue after that?
Maya: Yes, we will maintain that prompt payment discount for six months.
Stefan: That provides a real incentive for our accounting team to pay early.
Maya: As long as we stick to this plan, our finance team will support us fully.
Stefan: They will not block orders without speaking to you first?

Maya: No. I will personally supervise your account with our credit manager.
Stefan: I appreciate your support, Maya. A full stop would have ruined us.
Maya: We need each other to keep our market share strong.
Stefan: That is very true. Let us write down the agreed terms.
Maya: I prepared a formal repayment agreement before driving over.
Stefan: Let me read through the three main sections.
Maya: Section one outlines the six installments of ten thousand euros.
Stefan: The payment dates look clear: every Tuesday starting next week.
Maya: Section two describes the fifty percent prepayment on upcoming orders.
Stefan: And section three confirms the one percent early payment discount.
Maya: Everything is transparent, practical, and fully documented.
Stefan: That gives us a clear path forward.
Maya: I will sign here, and you can sign below.
Stefan: Signed. Let me pass a copy to our finance manager.
Maya: I will email the signed agreement to our credit controller immediately.
Stefan: Will our Monday delivery arrive at the warehouse on time?
Maya: I will instruct logistics as soon as I leave your office.
Stefan: Thank you for finding a balanced solution with me, Maya.
Maya: Thank you for your cooperation, Stefan. Let us keep in daily contact.
Stefan: Have a safe trip back to the regional office.
Maya: Thank you, Stefan. I will follow up with you on Tuesday morning.

Key phrases from this episode

Thank you for being open with me.	polite way to praise honesty in difficult business talks — Thank you for being open with me about your budget cuts. — Thank you for being open with me regarding the delivery delays.
Our finance team is ready to	shows internal pressure without making personal threats — Our finance team is ready to hold shipments until payment arrives. — Our finance team is ready to review your revised payment proposal.
Neither of us wants that to happen.	reminds both sides of a shared negative outcome — Losing shelf space hurts both businesses, and neither of us wants that to happen. — A cancelled contract is costly, and neither of us wants that to happen.
We need to find a way through this.	signals determination to find a realistic compromise — This cash issue is tough, but we need to find a way through this. — We have tight deadlines, so we need to find a way through this together.
I cannot authorize that.	firm, polite rejection when a request exceeds your authority — I cannot authorize that discount without approval from our sales director. — I cannot authorize that sixty-day payment term on overdue accounts.
What we can do is	pivots from a refusal to a practical alternative offer — We cannot waive the fee, but what we can do is split it over two months. — What we can do is send half the shipment by express freight.
In exchange for that,	introduces a benefit offered in return for a concession — We need prepayment, and in exchange for that, we offer free shipping. — In exchange for that commitment, we will hold these promotional prices.
Can you commit to that schedule?	asks the counterparty for a firm binding promise — We drafted the delivery dates, but can you commit to that schedule? — Can you commit to that schedule before we sign the final agreement?
As long as we stick to this plan,	sets adherence to terms as a condition for ongoing support — As long as we stick to this plan, there will be no supply interruptions. — As long as we stick to this plan, management will approve the budget.

That gives us a clear path forward.	confirms that a practical agreement has been reached — We agreed on weekly milestones, so that gives us a clear path forward. — That gives us a clear path forward to finish the product rollout.

Common mistakes

✗ Not: ~~Our client delays with the payment every month.~~
✓ Better: **Our client delays the payment every month.**
Delay takes a direct object in English; do not add with.

✗ Not: ~~The invoices are overdue on forty-five days.~~
✓ Better: **The invoices are overdue by forty-five days.**
Use the preposition by to express the amount of overdue time.

✗ Not: ~~We need to discuss about the payment terms today.~~
✓ Better: **We need to discuss the payment terms today.**
Discuss is transitive; do not use the preposition about after it.

✗ Not: ~~We have cash flow problems in this moment.~~
✓ Better: **We have cash flow problems at this moment.**
Use at this moment for current temporary situations, not in.

✗ Not: ~~Can you give us credit on sixty days?~~
✓ Better: **Can you give us credit for sixty days?**
Use for to indicate the duration of payment or credit terms.

Quiz

1. Why is Stefan late with his payments to Maya?
A) His largest supermarket customer has delayed paying him.
B) His regional warehouse burned down last month.
C) He decided to switch his distribution to a competitor.

2. What risk does Maya mention if shipments stop?
A) The factory will permanently close next week.
B) A competitor will take their retail shelf space.
C) Stefan will immediately cancel the whole company contract.

3. How did Maya respond to Stefan's request for 60-day credit terms?
A) She accepted it immediately without conditions.
B) She rejected it and offered a prompt payment discount instead.
C) She promised to double his credit limit.

4. What condition must Stefan meet to receive new goods?
A) He must pay fifty percent upfront on new orders.
B) He must pay the entire old balance today.
C) He must deliver goods using his own trucks.

5. Over how many weeks will Stefan repay the debt?
A) Four weeks.
B) Six weeks.
C) Ten weeks.

Answers: 1-A 2-B 3-B 4-A 5-B

Dialogue voices are AI-generated. Every episode is built on a real, anonymized case from the host's 15+ years in FMCG and key account management.